

SECTION B – WRITTEN QUESTIONS (TOTAL: 80 MARKS)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (17 marks – approximately 30 minutes)

You are an audit manager working for one of the sizable audit firms in Hong Kong. You have been approached by your friend, Andy, who is looking for an audit firm to carry out the first financial statement audit for his company, Asia Pacific Limited ("APL"), in accordance with the Hong Kong Companies Ordinance. APL is a newly incorporated private company in Hong Kong, engaging in the food and beverage business. It is scheduled to hold its first annual general meeting within nine months after its first year-end date.

Andy has no idea about how to appoint the first auditor of APL and the overall objectives of the auditor in conducting a financial statement audit. He would also like to know the rights of the auditor appointed to carry out a financial statement audit in Hong Kong.

Required:

- (a) Explain to Andy in detail who could appoint the first auditor of APL.
(6 marks)
- (b) Describe the overall objectives of the auditor in conducting a financial statement audit.
(5 marks)
- (c) Describe FOUR key rights of the auditor in carrying out a financial statement audit in Hong Kong.
(4 marks)
- (d) Apart from the Hong Kong Companies Ordinance, list TWO other most important ordinances in Hong Kong that governing the auditor in Hong Kong.
(2 marks)

Question 2 (19 marks – approximately 34 minutes)

A financial statement audit is a systematic process which can be divided into three phases. The first phase of a financial statement audit is planning, which includes risk assessment and design of audit responses. Planning an audit involves establishing the overall audit strategy for the audit engagement and developing an audit plan.

Required:

- (a) List the other TWO phases of a financial statement audit. (2 marks)
- (b) Explain the relationship between an overall audit strategy and an audit plan. (4 marks)
- (c) List FOUR key matters the auditor should consider in establishing an overall audit strategy. (6 marks)
- (d) Based on purposes, audit procedures are usually classified into three categories. One of the categories is risk assessment procedures. Define risk assessment procedures. (2 marks)
- (e) Identify the other TWO categories of audit procedures. (2 marks)
- (f) Enquiry is one of the common risk assessment procedures, list THREE other risk assessment procedures. (3 marks)

Question 3 (19 marks – approximately 34 minutes)

Felix Limited ("FL") is a wholesaler of computer hardware in Hong Kong. It buys the inventories from five major manufacturers and sells them to over 800 different customers ranging from large retail chain stores to smaller owner-controlled businesses. Both accounts receivable and inventory are material current assets of FL.

You are a senior-in-charge of the audit of the financial statements for the year ended 31 December 2024. At the beginning of the year-end audit, FL has provided you a list of accounts receivable and a list of inventory items as at 31 December 2024. FL maintains an accounts receivable control account and an allowance for doubtful debt account in its general ledger, and an accounts receivable subsidiary ledger.

Required:

- (a) Describe the key audit risk of inventory of FL.
(2 marks)
- (b) Considering the key audit risk of inventory as described in Question 3(a), list THREE assertions that are at a higher risk of material misstatements.
(3 marks)
- (c) Describe FOUR audit procedures to ensure the year end inventories of FL are stated at the lower of cost and net realisable value.
(4 marks)
- (d) Based on the accounting records provided by FL, list FOUR audit procedures you should carry out on the accounts receivable balance as at 31 December 2024 before selecting samples from the list of accounts receivable to perform debtor circularisation. For each procedure, explain the reason for that procedure.
(10 marks)

Question 4 (25 marks – approximately 46 minutes)

You are the auditor of Sunshine Limited ("SL"), a private manufacturing company of small household appliances, for the year ended 31 December 2024. SL is a Hong Kong company but has most of its factories and warehouses located in different provinces in China. In performing subsequent event review, you have learned from SL's management that their factory and warehouse in Henan Province of China were damaged by flooding and landslides caused by heavy rainfall in late January and early February 2025. As a result, SL has halted its production in Hebei Province since the deadly floods and landslides. You are now in the process of finalizing your audit opinion on SL's financial statements for the year ended 31 December 2024.

Required:

- (a) Explain the objectives of carrying out review of events occurring between the date of the financial statements and the date of the auditor's report.
(4 marks)
- (b) Describe FOUR possible audit procedures in carrying out subsequent event review.
(6 marks)
- (c) Contrast an emphasis of matter paragraph with an other matter paragraph.
(4 marks)
- (d) Explain the type of auditors' opinion you will issue, and the additional information you will include in the auditor's report, in respect of the following independent outcomes of your assessment of the impact of destroyed factory and warehouse on SL and the responses of SL's management.
- (i) Management has agreed to disclose the loss caused by the flooding and landslides in the financial statements and you have considered the disclosure by management is appropriate.
(5 marks)
- (ii) Management is not willing to provide adequate information regarding the loss caused by the flooding and landslides and you also find that alternative audit procedures performed do not provide adequate and appropriate evidence regarding the loss caused by the flooding and landslides.
(6 marks)

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